BCA II

# Forbidden City: Cracking the Code of China’s Craft Beer Craze

EBC aims to expand its market share and profitability in China’s premium beer segment while balancing global brand consistency with local market adaptation.

# Capturing the Chinese Market with

## Key Issues

**1.** Local vs. Global Brand Conflict

**2.** Premium-Segment Competition & Craft Trend

**3.** Organizational Alignment and Resource Constraints

>

## Mandate

" Can EBC Expand in China's **Premium Beer Market** While **Balancing Global Branding** and Local Adaptation? "

>

## Alternatives

**Forbidden City**

**Hybrid**

**Wild Dog**

>

## Impact

**109M+** in Total Revenue by 2016

**88.9K+** in Franchise Royalties by 2016

**4.95% Gross Profit Margin** by 2016

# Analysis

# Analysing market trends and their implications

## Market Situation

**Political / Legal**

- Licensing laws favour local or large-scale producers
- Foreign beers face extra regulation
- No legal provision to regulate when or where alcoholic beverages are sold
- Lobbying from big brewers

**Economic / Socio-cultural**

- Large beer market
- Growing urban incomes
- Local value orientation
- Youth seeking flavour diversity and authenticity
- Strong national pride favors local brands

## Market Data

**Relaxed Licensing for Small Breweries**
Downgraded licensing requirements for small breweries from "production license" to "food production license"

**Tax Incentives for Low-Alcohol Beverages**
Beer with ≤ 2.5% ABV enjoys a 50% reduced consumption tax (from the standard 250 RMB/ton to 125 RMB/ton).

**Rising Middle-Class & Premiumization**
China's middle-class population is expected to reach 1.2 billion by 2030 (McKinsey), with premium beer sales growing at 8-10% annually (Euromonitor).

**Gen Z Driving Craft Beer Demand**
60% of Chinese consumers aged 18-35 are willing to pay more for craft beer (CBNData), and the craft beer market is expanding at over 15% CAGR (IWSR).

## Implications

*China's **premium craft beer market** is still relatively niche but growing rapidly*

**10-15M**
Regular Customer Base for Craft Beer in China (2024)

**15%**
CAGR
Growth Rate (2024)

**100M+**
Total Addressable High Income Market in China

# Recommendations

# Our alternatives for expansion are…

## 1

### Launch forbidden city exclusively in China

- Focuses on a craft beer brand focusing on national identity.
- Targets Chinese consumers who appreciate locally inspired products.
- Emphasizes national pride, authenticity, and the rising interest in local craft brews.
- However,  limits international expansion.

## 2

### Expand Wild Dog across Asia

- Consists on establishing a unified brand presence across Asia or even worldwide.
- Emphasizes scalability, cost efficiency, and consistent branding.
- It is cost-effective and easier to manage globally but Lacks local authenticity.

## 3

### Dual strategy

- Consists of balancing regional and global strategies:

  -Forbidden City in China and Wild Dog Asia and/or internationally.
- This will target a broader consumer segment.
- However, it has higher operational complexity, risk of brand dilution.

# Selecting the right strategy in achieving our targets to bring long-term success

## Alternative Analysis

Worst Alternative → Best Alternative

| Criteria | Forbidden City | Hybrid | Wild Dog |
|---|---|---|---|
| **Operational Control** | | | |
| **Speed of Expansion** | | | |
| **Capital Intensity** | | | |
| **Gross Profit Margin** | ~32% | ~30% | ~25% |
| **Brand Consistency** | | | |

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**The Hybrid Strategy is the best option out of our alternatives, launching Forbidden City first & then Wild Dog.**
**But How can we implement it?**

# Implementation

# The Hows & Whys on the Hybrid Model as the best fit for our goals

## Why a Hybrid Model?

**_Market Penetration & Efficiency_**

Combines digital and physical channels to reach a wider audience while optimizing costs

**_Flexibility & Scalability_**

Adapts quickly to market trends and allows for gradual expansion with minimal risk

**_Enhanced Customer Experience_**

Offers personalized online engagement while maintaining a strong physical brand presence.

## How to Implement?

**Key Steps to follow**

1. Integrate e-commerce with physical stores for seamless shopping.

2. Use data analytics to optimize inventory, pricing, and marketing.

3. Collaborate with local distributors and digital platforms.

4. Augmented reality (AR) and smart displays for interactive shopping.

5. Leverage both centralized warehouses and local hubs to ensure fast delivery.

6. Blend online and offline incentives to boost customer retention.

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## Why this model beats expectations

**Revenue Diversificatio n**

Multiple income streams reduce financial risk.

**Competitive Edge**

Combines the best of both worlds, making the business more resilient.

**Future-Proofing**

Prepares the company for digital transformation while maintaining a strong physical presence.

*"We collaborate strategically to ensure sustainable growth, minimizing risk while maximizing profitability in a dynamic market."*

# EBC must balance brand familiarity, highway traffic, and strategic expansion potential for an ideal location

**Beijing**
*Tier 1 City*
booming craft beer market (e.g., Sanlitun, Gulou) and high-end restaurants that pair beer with gourmet food.

**Wild Dog: Online & Ecommerce on TaoBao**


**Shanghai**
*Tier 1 City*
China's most international city, with a vibrant bar scene (e.g., The Bund, Xintiandi) and craft beer culture.

# We bring stable & rapid growth through our ambitious strategy across China

We will capture **5.12%** of the Chinese Premium **Market** in 4 Years, **512K+** Customers Per Annum

**15%** of grocery stores carry Forbidden City

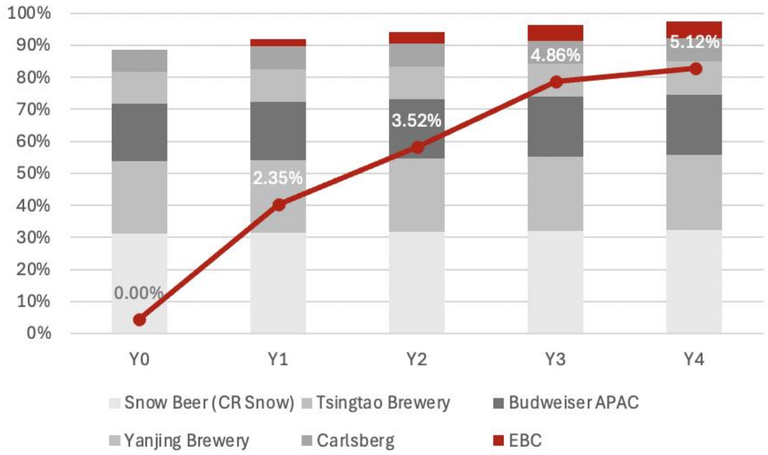
**Sam's Club**
*Walmart Subsidiary*
Focus on online services and curated products


**Hema Premium**
*Alibaba Subsidiary*
Black-label, high end supermarket

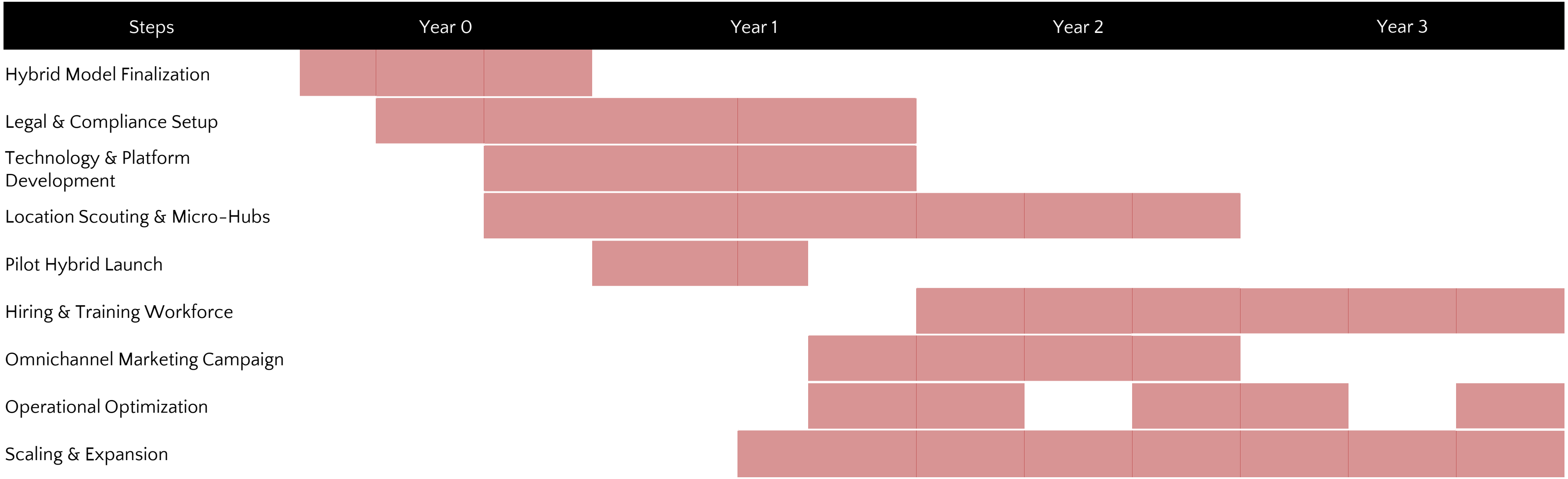
**5.12%**
Captured Market (Forbidden City & Wild Dog Combined)

**512K+**
Customers Per Annum Purchasing EBC

**32.34%**
Net GPM for Forbidden City & Wild Dog



# A Scalable Hybrid Model Strategy to Be Achieved in 3 Years




## Must Win Battles & KPIs

**1 Pilot Hybrid Launch**

At least 3 locations & e-commerce platform live by Q3, Year 1

**2 Strategic Partnerships Secured**

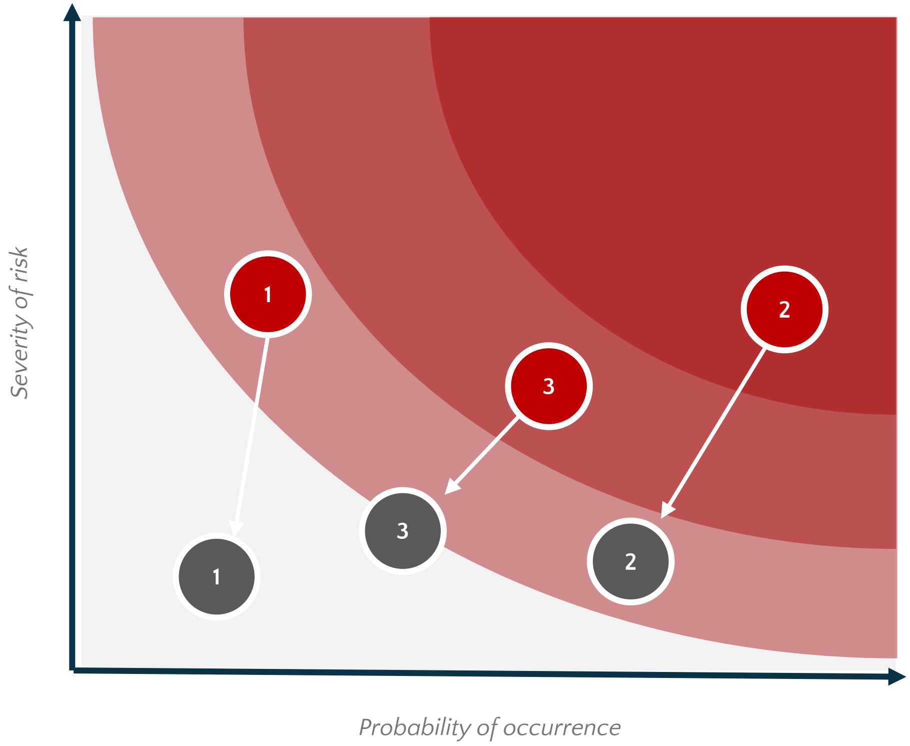
5 key digital and retail partnerships signed by end of Year 2

**3 Brand Engagement & Market Penetration**

+25% increase in digital and in-store conversion rates by Q1, Year 3

# Impact

# A Well-balanced Strategy to be Achieved




1 ***Brand Dilution & Confused Positioning on launching both brands with same company***
Use distinct branding (packaging, pricing, distribution channels), high-end bars, hotels, and imported grocery chains vs convenience stores & online

2 ***Distribution Channel Conflict***
Dedicated Sales Teams, Channel Exclusivity & Incentivize Balanced Sales, Assign separate teams to avoid internal competition & Limiting Forbidden City to premium venues, while Wild Dog targets broad retail.

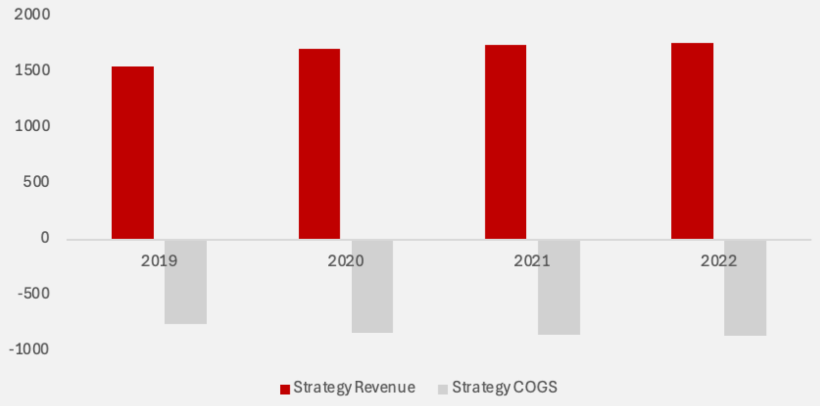
3 ***Cost Management & Margin Pressure, Wild Dog***
Premium Subsidizes Mainstream: Use Forbidden City's higher margins (40–60%) to fund Wild Dog's scale-up, focusing on E-commerce to cut CAPEX costs

# Balancing Risk & Reward while generating steady returns

## Revenue Breakdown

*Values in 000SGD*

1.143M+ in Total Revenue




**Assumptions**

- Growth Rate of current operations are not expected to change
- 6.15% CAGR Expected to be maintained over 5 year period

**44.29% Gross Profit Firm Wide, 6.3%+ Revenue in 4 Years**

## Comparative Analysis: Strategy Alternatives

| | | | | | | |
|---|---|---|---|---|---|---|
| **Case 1 Impact: Forbidden City** | | | | | | |
| | Revenues | 0 | 969.3047 | 1066.235 | 1087.5599 | 1098.4355 |
| | Cost of sales | | 659.1272 | 725.0399 | 739.54071 | 746.93612 |
| | Gross profit | | 310.1775 | 341.1953 | 348.01916 | 351.49935 |
| | GPM | | 0.32 | 0.32 | 0.32 | 0.32 |
| Combined Rev | | | | | | |
| | Revenues | 1,075,855 | 1,092,962 | 1,109,439 | 1,126,086 | 1,142,972 |
| | Cost of sales | 600125 | 659.581 | 725.5065 | 740.02349 | 746.93612 |
| | Gross profit | 420,466 | 483176.1 | 490450.1 | 497808.59 | 505273.98 |
| | GPM | 0.39082 | | | | |

| | | | | | | |
|---|---|---|---|---|---|---|
| **Case 3 Impact: Wild Dog** | | | | | | |
| | Revenues | 0 | 581.5828 | 639.7411 | 652.53592 | 659.06128 |
| | Cost of sales | | 412.9238 | 454.2162 | 463.30051 | 467.93351 |
| | Gross profit | | 168.659 | 185.5249 | 189.23542 | 191.12777 |
| | GPM | | 0.29 | 0.29 | 0.29 | 0.29 |
| Combined Rev | | | | | | |
| | Revenues | 1,075,855 | 1,092,574 | 1,109,012 | 1,125,651 | 1,142,532 |
| | Cost of sales | 0 | 609539.8 | 618718 | 628001.04 | 637418.73 |
| | Gross profit | 0 | 187352.9 | 190177.6 | 193031.15 | 195925.67 |
| | GPM | 0.171478 | | | | |

- Market Average GPM for Chinese Based Projects are expected to be from 29-35%
- Forbidden City serves as key revenue driver in all cases
- EBC has no historical debt/unable to take on equity

# Appendix

# Financial estimates for strategy

| Group Wide | | 2018 | 2019 | 2020 | 2021 | 2022 |
|---|---|---|---|---|---|---|
| | Revenues | 1,075,855 | 1091993 | 1108373 | 1124998.31 | 1141873.28 |
| | Cost of sales | 600125 | 609126.9 | 618263.8 | 627537.735 | 636950.801 |
| | Gross profit | 475730 | 482866 | 490108.9 | 497460.573 | 504922.482 |
| | GPM | 0.442188 | | | | |
| | NPM | | | | | |
| China | | | | | | |
| | Revenues | 381,992 | 387721.9 | 393537.7 | 399440.774 | 405432.385 |
| | Cost of sales | 197574 | 200537.6 | 203545.7 | 206598.859 | 209697.842 |
| | Gross profit | 184418 | 187184.3 | 189992 | 192841.915 | 195734.543 |
| | GPM | 0.48278 | | | | |
| **Case 1 Impact: Forbidden City** | | | | | | |
| | Revenues | 0 | 969.3047 | 1066.235 | 1087.55987 | 1098.43547 |
| | Cost of sales | | 659.1272 | 725.0399 | 739.540714 | 746.936121 |
| | Gross profit | | 310.1775 | 341.1953 | 348.019159 | 351.499351 |
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| Combined Rev | | | | | | |
| | Revenues | 1,075,855 | 1,092,962 | 1,109,439 | 1,126,086 | 1,142,972 |
| | Cost of sales | 600125 | 659.581 | 725.5065 | 740.023494 | 746.936121 |
| | Gross profit | 420,466 | 483176.1 | 490450.1 | 497808.592 | 505273.981 |
| | GPM | 0.39082 | | | | |
| **Case 2 Impact: Hybrid** | | | | | | |
| | Revenues | 0 | 1550.888 | 1705.976 | 1740.0958 | 1757.49676 |
| | Cost of sales | | 757.9963 | 833.7959 | 850.471821 | 858.976539 |
| | Gross profit | | 792.8912 | 872.1804 | 889.623976 | 898.520216 |
| | GPM | | 0.3 | 0.3 | 0.3 | 0.3 |
| Combined Rev | | | | | | |
| | Revenues | 1,075,855 | 1,093,544 | 1,110,079 | 1,126,738 | 1,143,631 |
| | Cost of sales | 600125 | 609884.9 | 619097.6 | 628388.207 | 637809.777 |
| | Gross profit | 475730 | 483658.8 | 490981.1 | 498350.197 | 505821.002 |
| | GPM | 0.442188 | | | | |
| | | | | | | |
| **Case 3 Impact: Wild Dog** | | | | | | |
| | Revenues | 0 | 581.5828 | 639.7411 | 652.535924 | 659.061283 |
| | Cost of sales | | 412.9238 | 454.2162 | 463.300506 | 467.933511 |
| | Gross profit | | 168.659 | 185.5249 | 189.235418 | 191.127772 |
| | GPM | | 0.29 | 0.29 | 0.29 | 0.29 |
| Combined Rev | | | | | | |
| | Revenues | 1,075,855 | 1,092,574 | 1,109,012 | 1,125,651 | 1,142,532 |
| | Cost of sales | 0 | 609539.8 | 618718 | 628001.035 | 637418.734 |
| | Gross profit | 0 | 187352.9 | 190177.6 | 193031.15 | 195925.671 |
| | GPM | 0.171478 | | | | |

| Brand | Y0 | Y1 | Y2 | Y3 | Y4 |
|---|---|---|---|---|---|
| Snow Beer (CR Snow) | 31.10% | 31.41% | 31.73% | 32.04% | 32.36% |
| Tsingtao Brewery | 22.60% | 22.83% | 23.05% | 23.28% | 23.52% |
| Budweiser APAC | 18.00% | 18.18% | 18.36% | 18.55% | 18.73% |
| Yanjing Brewery | 10.00% | 10.10% | 10.20% | 10.30% | 10.41% |
| Carlsberg | 7.00% | 7.07% | 7.14% | 7.21% | 7.28% |
| EBC | 0.00% | 2.35% | 3.52% | 4.86% | 5.12% |

| EBC Profit Statement: 2015—2018 (in thousands of Singapore $) | | | | | |
|---|---|---|---|---|---|
| | | 2015 | 2016 | 2017 | 2018 |
| Revenues | | 963,001 | 970,234 | 1,015,961 | 1,075,855 |
| Cost of sales | | 542,535 | 507,766 | 558,290 | 600,125 |
| Gross profit | | 420,466 | 462,468 | 457,671 | 475,730 |
| GPM | | 43.66% | 47.67% | 45.05% | 44.22% |
| | | | | | |
| Operating expenses Distribution | | 79,392 | 86,673 | 93,394 | 101,137 |
| Marketing | | 134,272 | 146,931 | 145,496 | 140,027 |
| Administration | | 68,538 | 67,154 | 69,199 | 70,414 |
| Profit before taxes | | 138,264 | 161,710 | 149,582 | 164,152 |
| Taxes | | 27,653 | 32,342 | 29,917 | 32,830 |
| Profit after taxes | | 110,611 | 129,368 | 119,665 | 131,322 |
| NPM | | 11% | 13% | 12% | 12% |
| EBC China Operations Profit Statement: | | 2015 | 2016 | 2017 | 2018 |
| Revenues | | 288,900 | 310,475 | 347,186 | 381,992 |
| Cost of sales | | 157,228 | 169,584 | 185,181 | 197,574 |
| Gross profit | | 131,672 | 140,891 | 162,005 | 184,418 |
| GPM | | 45.58% | 45.38% | 46.66% | 48.28% |
| | | | | | |
| Operating expenses** Distribution | | 23,112 | 24,838 | 25,889 | 26,730 |
| Marketing | | 34,668 | 40,362 | 48,326 | 51,079 |
| Administration | | 18,779 | 20,181 | 22,437 | 24,029 |
| Profit before taxes | | 55,113 | 55,510 | 65,353 | 82,580 |
| Taxes | | 14,779 | 13,877 | 16,338 | 20,645 |
| Profit after taxes | | 40,334 | 41,633 | 49,015 | 61,935 |
| NPM | | 14% | 13% | 14% | 16% |

*Appendix*

# Store Front Examples